

Table 9.2 Strategy Summary Statistics

	IVY5	IVY_MA	60/40	SP500
CAGR	10.92%	10.98%	10.91%	11.74%
Standard Deviation	10.04%	7.35%	10.03%	15.01%
Downside Deviation (MAR = 5%)	8.66%	5.84%	6.92%	11.01%
Sharpe Ratio	0.61	0.80	0.61	0.50
Sortino Ratio (MAR = 5%)	0.68	0.98	0.85	0.66
Worst Drawdown	— 45.32%	−12.65%	— 25.29%	— 50.21%
Worst Month Return	— 19.48%	−10.37%	— 13.14%	— 21.58%
Best Month Return	8.59%	7.37%	9.70%	13.52%
Profitable Months	68.80%	72.22%	65.60%	62.61%

Some quick takeaways: A 60/40 portfolio performed well, and the Ivy 5 portfolio with a moving average rule is tough to beat.

Unfortunately, we can't buy Ivy 5 index returns—we can only backtest them. Investment vehicles cost money in the real world, so we need to choose wisely. To replicate the Ivy 5, we could do the following with iShares products, which happen to have an ETF for all of the Ivy 5 exposures:

- IVV (7bps): iShares Core S&P 500
- EFA (34bps): iShares MSCI EAFE Total Return Index
- IYR (46bps): iShares US Real Estate
- GSG (75bps): iShares S&P GSCI Commodity-Indexed Trust
- IEF (15bps): iShares 7–10 Year Treasury Bond

In our previous analysis, we looked at gross of fee performance, but we clearly can't invest in an index for free. Using iShares, the ETF fee costs are 35.4bps, on average, plus transaction costs and RIA fees.